BUDGET BRIEF

CITY OF MADISON

2025 PROPOSED BUDGET

WISCONSIN POLICY FORUM

BUDGET BRIEF

City of Madison 2025 Mayor's Budget

October 2024

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INTRODUCTION

As Madison seeks to balance its 2025 budget, the city will largely do so on its own. Mayor Satya Rhodes-Conway, the Common Council, and ultimately the voters themselves will have to decide the right level of city services and spending for next year and beyond. Then city taxpayers will have to dig – and perhaps dig deeply – to fund that increase without new infusions of state or federal funds.

The mayor and Common Council members have placed a $22 million referendum on the Nov. 5 ballot to help fund increased spending for city operations. After years of tight state limits on Madison's tax levy and three years of rapid inflation, the mayor says the increase is needed to give raises to staff, reduce employee turnover, and ensure services remain at high levels. Under her proposed 2025 budget, nearly three-quarters of the revenues in the city's main fund would come from property taxes on the owners of homes and businesses in the city.

That rising share illustrates – perhaps better than any other statistic – the predicament for the city and its residents and taxpayers. Though property values in Madison have skyrocketed and its population is growing, state law limits any increases in the city's tax levy for operations to the growth in new construction within its territory. Development in the city is outpacing the state average, but still fell well short of the inflation rate in recent years, which has driven up costs for both Madison residents and the city budget.

Towns and cities across the state face a similar challenge, but many of them received help in 2024 in the form of a massive boost in a form of state aid known as shared revenue. Yet as last year's budget brief showed, Madison received the least additional aid per resident of any municipality in the state.

To be sure, the city benefits mightily from being the seat of state government and the home to the world-class research institution that is the University of Wisconsin-Madison. These assets have long buoyed the city's economy and property values, and state officials have some justification in being reluctant to provide direct aid to the city. At the same time, however, state law also limits what Madison officials can do to tap the city's high property values to fund services with local funds.

In recent years, city spending has been increasing at a rapid clip. Since 2021, that spending has been propped up in part with federal pandemic relief aid, but this year essentially marks the end of that source of support. The city retains ample reserves of its own – enough to fund this spending for a period of time into the future but not forever. In addition, this option would weaken the city's traditional strong finances and credit rating and leave city employees and residents more exposed to the impact of future crises.

If successful, the referendum would not solve all the city's challenges but would bring a measure of fiscal stability to the city budget. If it fails, the problems would be greater still, with the city cutting some services, dipping into its reserves, and leaning heavily on an undrafted and untested new infrastructure special charge. As always, we take no position on the referendum or city budget as a whole. Yet as members of the Common Council and the voters themselves consider these questions, we hope this brief offers insights that will help them to make these difficult decisions for themselves.

HOW THE BUDGET IS BALANCED

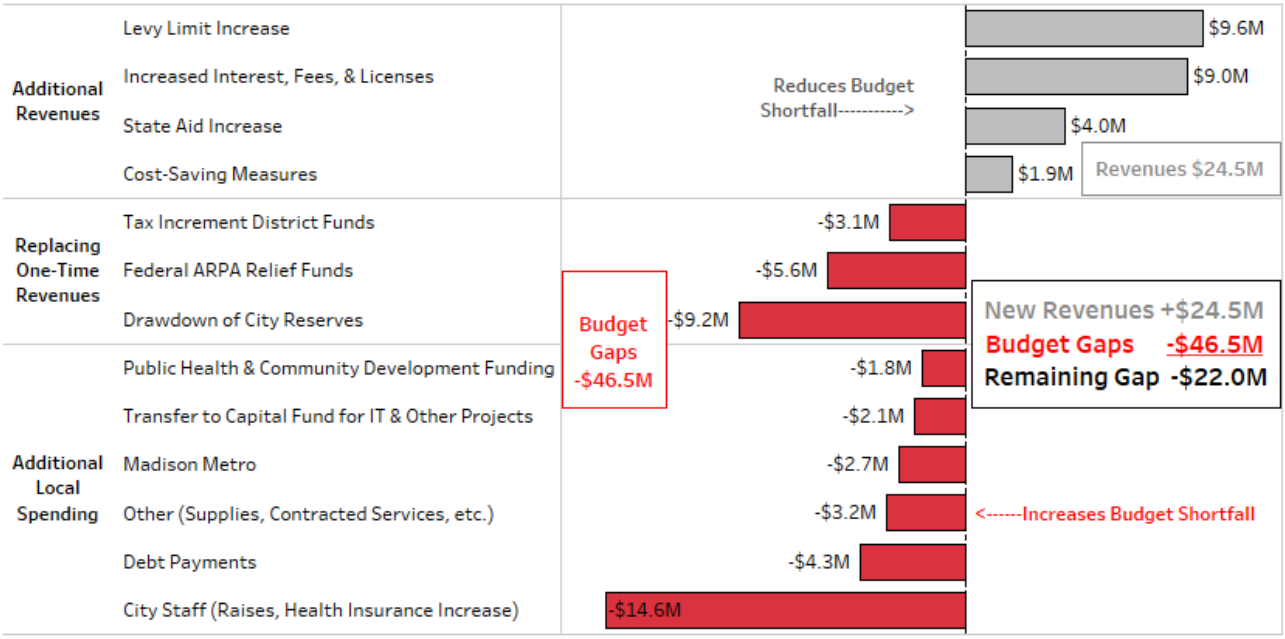
The city faces a potential shortfall of $22 million and – more notably – the prospect of growing shortfalls in future years that over time would chew through the city's reserves and force progressively larger cuts without new funding. Madison, quite simply, has been increasing its spending more rapidly than its revenue and is on track to continue to do so if no changes are made.

As Figure 1 shows, the city currently expects that, with no new funding from either the referendum or fee increases, it would receive $24.5 million in new revenues for 2025. That would include mainly the increase in the property tax allowed under state limits and additional amounts of new interest and fee income.

City officials, however, say they need $46.5 million to meet their commitments and maintain Madison's current level of services in 2025. One reason for that is the $17.9 million in one-time revenues that are being used to balance the current 2024 budget and that have to made up for with new funding or spending cuts. Those funds include $9.2 million in city reserves and an additional $8.7 million in federal pandemic relief aid and tax increment district funds.

In addition, the budget includes $28.6 million in new spending for employee raises, increases in health insurance, and debt payment costs. Some of those spending items are costs that city officials chose to take on in the past but they now collectively represent commitments that are more difficult for the city to avoid. Once all those factors are figured into the budget, city officials arrive at the current gap of $22 million.

Figure 1: Breaking Down Madison's $22 Million Projected Budget Gap for 2025

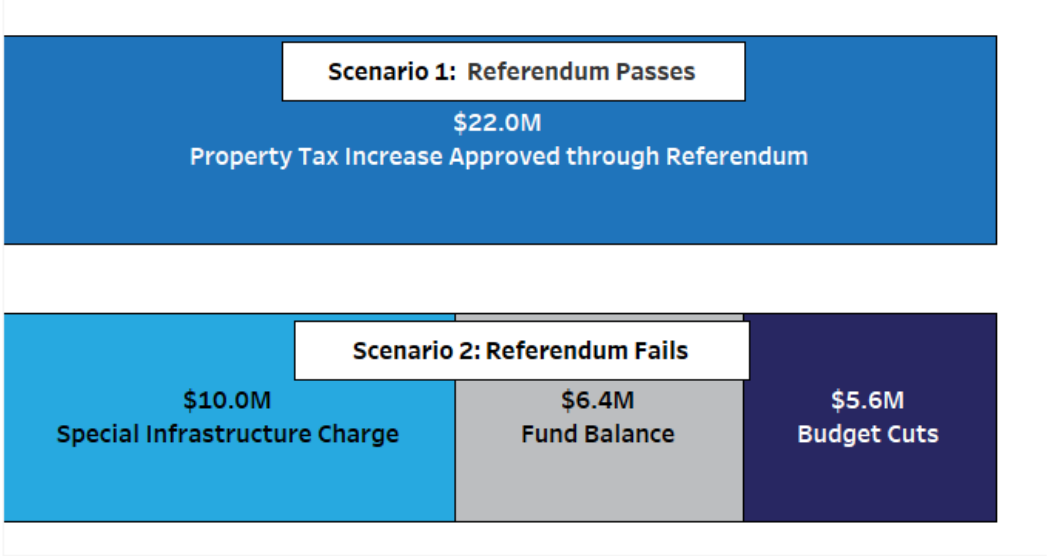


Source: City of Madison Finance Department

To close budget gaps, city officials have a range of options from cutting spending to dipping into reserves, seeking help from the state, partnering with other local governments, and raising new local revenues. However, some of these options such as partnering with other communities and seeking state aid are unlikely to deliver new revenues or savings in 2025; for next year, city officials have to look at options they can implement quickly.

As Figure 2 shows, the mayor's proposal puts forward a referendum as the single preferred solution to the $22 million gap. Though acknowledging that the city has other options for closing next year's shortfall, the mayor maintains that a referendum would retain these options for the budget challenges that the city is projected to face in future years.

Figure 2: Mayor Proposes Two Scenarios for Closing $22M Budget Gap



Source: City of Madison Finance Department

If the referendum does not pass, the mayor's budget would take several steps to close the gap. The first would be to impose a $10 million infrastructure special charge on all parcels of property in the city. The second would be to dip into city reserves for $6.4 million and the last step would involve a series of spending cuts totaling $5.6 million. See budget Key #3 for more details on all of these items.

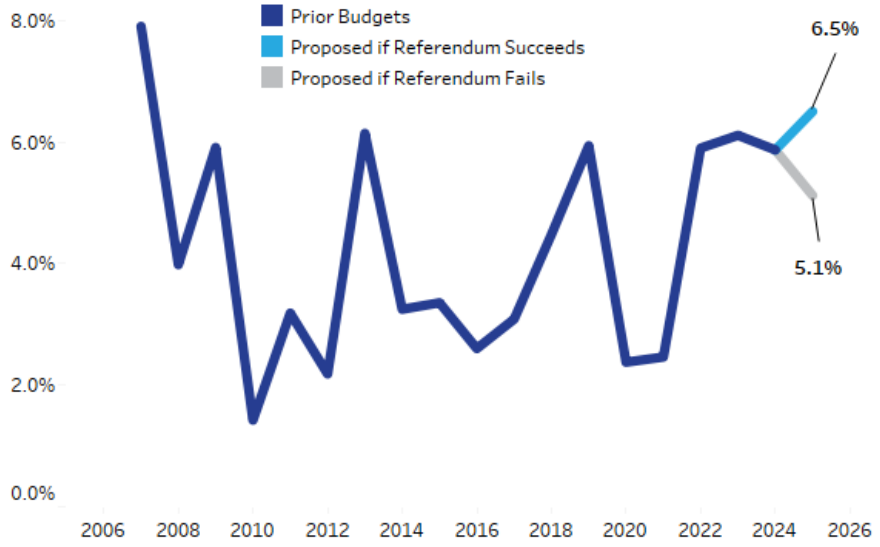
If approved by voters, the referendum in the first scenario provides reliable revenue to balance the city's budget but does so at a cost to city taxpayers. The second scenario is less certain – nearly half of the funds would come from a proposed fee that appears to be the first infrastructure charge ever implemented under this section of the Wisconsin statutes and that has some common elements with fees that have been struck down by the state's current Supreme Court. The other funds would be drawn from city reserves – a one-time method that could not be sustained indefinitely. Only one-quarter of the proposed solution in scenario two – the spending cuts – would be a certain strategy that the city could rely on permanently.

PROPOSED BUDGET OVERVIEW

Spending Will Depend on the Referendum's Outcome

Like everything else in the 2025 budget, spending levels will depend on whether or not the referendum passes. If it succeeds, budgeted spending within the city's general and library funds would rise by 6.5%, or $26.4 million, from $405.4 million in the 2024 adopted budget to $431.7 million next year. This would represent the fourth year in a row in which core city spending rose by roughly 6% or greater (see Figure 3). Even if the referendum fails, the mayor's alternate proposal would still increase spending by 5.1% in 2025.

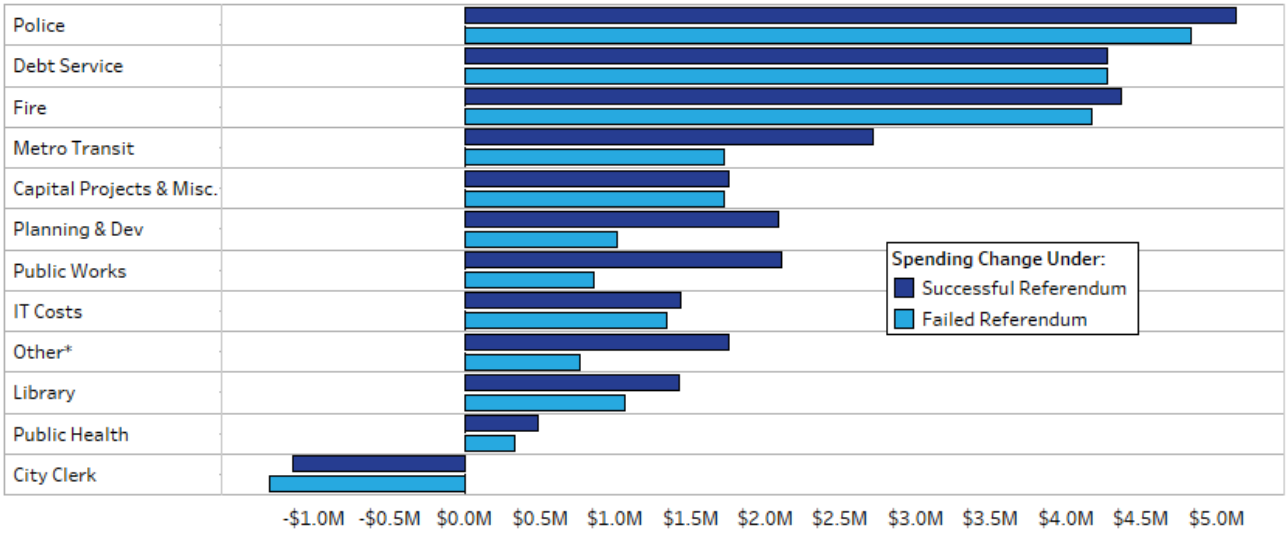
Figure 3: Percent Increases in Budgeted General Fund Spending



Source: City of Madison Finance Department

These unusually large increases are driven in part by the effects of inflation on key city costs such as wages. However, this growth is not currently sustainable, given that the portion of the city property tax going to operations – its main revenue source– typically grows by around 2% annually.

Figure 4: Dollar Change in Proposed 2025 Spending Under Two Scenarios



Source: City of Madison Finance Department. *Other includes administration (minus city clerk), mayor, Common Council, municipal court, independent police monitor, and traffic engineering and transportation.

Figure 4 on the previous page shows how changes in budgeted general fund spending for 2025 would differ depending on whether or not the referendum passes. The differences include:

- If the referendum is successful, city spending on police would rise $5.1 million, or 6.5%, in 2025 versus $4.8 million if the referendum fails. Madison Police Chief Shon Barnes would have to decide how to deal with that difference.

- Under the mayor's budget, fire department spending would go up by $4.4 million, or 6% compared to 2024, largely attributable to cost of living increases. If voters reject the referendum, fire department spending would still rise $4.2 million.

- Payments on the city's debt will rise by $4.3 million, or 7% over 2024, under either scenario. Increased debt payments do not add to the city's budget gap, since state law allows property taxes to rise by as much as debt payments do.

- Public Works spending would rise $2.1 million, or 4%. This reflects a 5% increase for the streets division and 4% jump for parks. If the referendum fails, the total increase would be $896,062.

- The proposal provides a $2.1 million boost for Planning and Development for a 7% increase over the 2024 budget, with community development activities receiving the largest share, at $1.6 million. A failed referendum would result in a $1.0 million bump, or 3.5%.

- Public health spending would rise $477,630, or 5%, if the referendum succeeds, but $329,958 if it fails.

- The mayor proposes a $2.7 million (17%) increase for the general fund subsidy to Metro Transit, which would drop to $1.7 million (9.8%) if voters reject the referendum.

- The city clerk's budget would decline under either scenario. If the referendum succeeds, there would be a drop of $1.2 million (-30%) related to fewer election-related costs in 2025 following the presidential election. The drop would be $1.3 million (-34.1%) if the measure fails.

- The library would see a 7% increase, or $1.4 million, under the mayor's proposal, which would shrink to $1.0 million or 4.8% if the vote fails.

- All other spending areas, which including spending on administration, excluding IT costs and the City Clerk's office, the mayor's office, the Common Council, Municipal Courts, the Independent Police Monitor, Traffic Engineering, and Transportation would grow by $1.8 million, unless voters reject the referendum. Then spending in these areas would grow by only $755,784.

In many cases, the smaller spending increases associated with the failure of the referendum would be accompanied by cuts to services in order to balance agency budgets. These potential reductions will be described in Key #3.

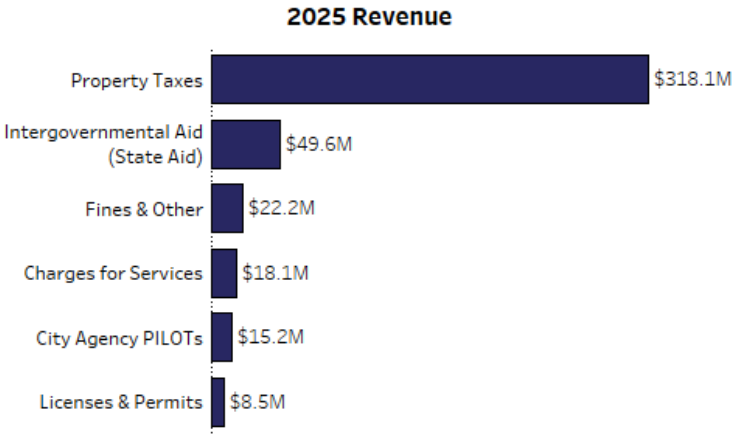
General Fund Budget Summary

City revenues would shoot upward if the referendum passes. Projected general and library fund revenues in 2025 would increase by 6.5% to $431.7 million, a boost of $26.4 million. Figure 5 shows a breakdown of the city's general fund revenues and spending.

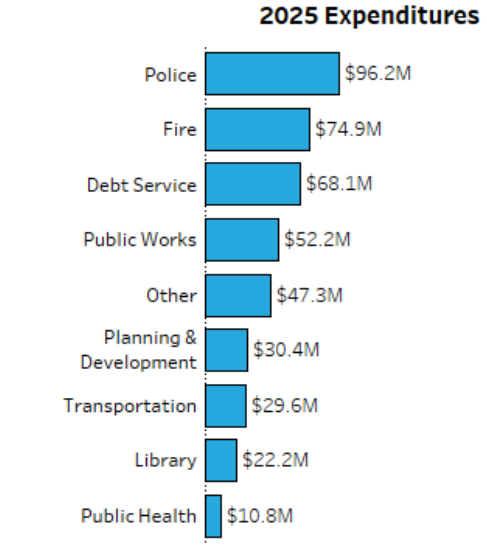
Passage of the referendum would mean an 11% increase in the property tax levy to $318.1 million, or $31.6 million more. That would easily surpass the previous record of 8.3% in 2009 to make it the largest for the city since at least 1997 (see Figure 6 on the next page).

The referendum is intended to override a state law that limits local property tax levies used for operations to the rate of net new construction in a community. In Madison, that rate over the past year was 2.6% - close to the rate of inflation for 2024. However, the relatively strong showing this year does not make up for the fact that the state limit on city property taxes fell well short of inflation over the previous three years – one reason why the mayor and Common Council have sought a referendum (see Figure 7 on the next page).

Figure 5: City of Madison General Fund Budget



[General Fund: $431.7 million]

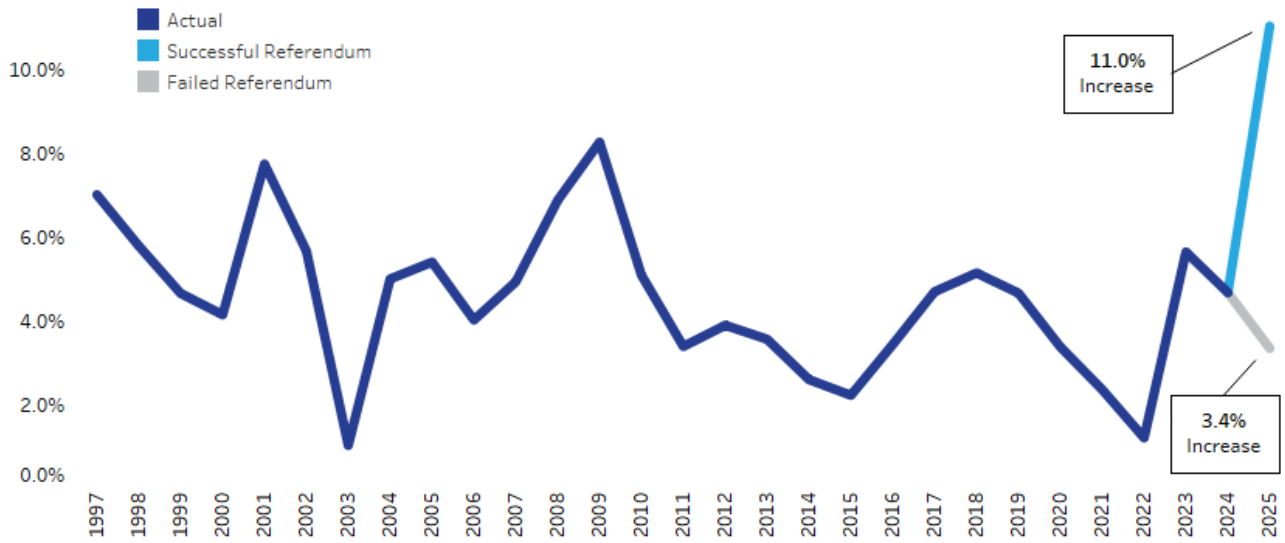


Source: City of Madison Finance Dept.

If voters approve the referendum, taxes on the average home valued at $457,300 would rise by 10.4%, or $313, to $3,330. If the referendum fails, taxes would still rise by 3.4% to $296 million - closer to the current rate of inflation though still modestly higher. Taxes on the average home would rise by 2.8%, or $83, to $3,100.

If the referendum passes, revenues from all other funding sources would fall under the proposed budget. That reflects the end of the one-time funding sources used in 2024 – the federal pandemic aid, tax increment, and city reserve funds. The city would receive relatively little in the way of new revenue in other areas with the exception of a little more than $3.2 million in state aid to help

Figure 6: City of Madison Property Tax Increases by Year (1997-2025)



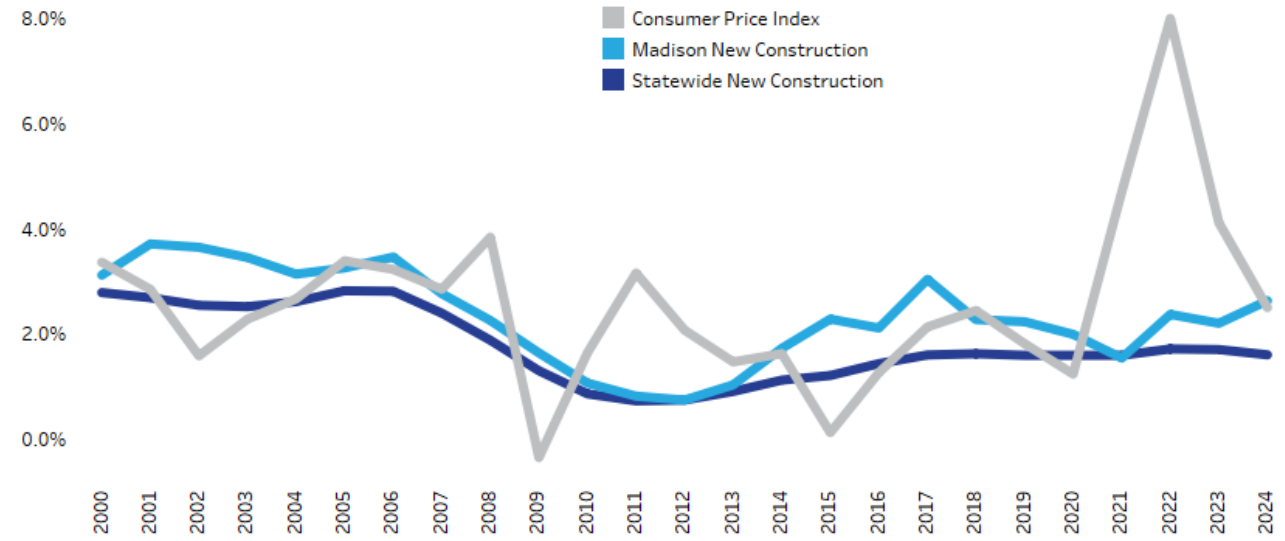
Sources: City of Madison Finance Department, Wisconsin Department of Revenue. The proposed amount for 2025 would be levied on December 2024 tax bills.

support the phaseout of the state tax on personal property such as business equipment. However, that aid is essentially cancelled out by a corresponding reduction in what the city could otherwise levy through the property tax.

If the referendum fails, the city would impose the proposed transportation charge and draw on its reserves for some of the remaining funds. As we noted, however, the infrastructure charge appears to be the first of its kind in Wisconsin and might face court challenges.

The 2025 general fund budget would be the first since 2021 without any of the $47.2 million in ARPA relief funds that came to the city. Our 2022 city of Madison budget brief provides a detailed overview of how the city allocated that money, though some changes have been made since then to

Figure 7: Rate of Net New Construction* and Consumer Prices (2000-2024)



Source: Wisconsin Department of Revenue; *Represents value of annual net new construction as share of equalized property values.

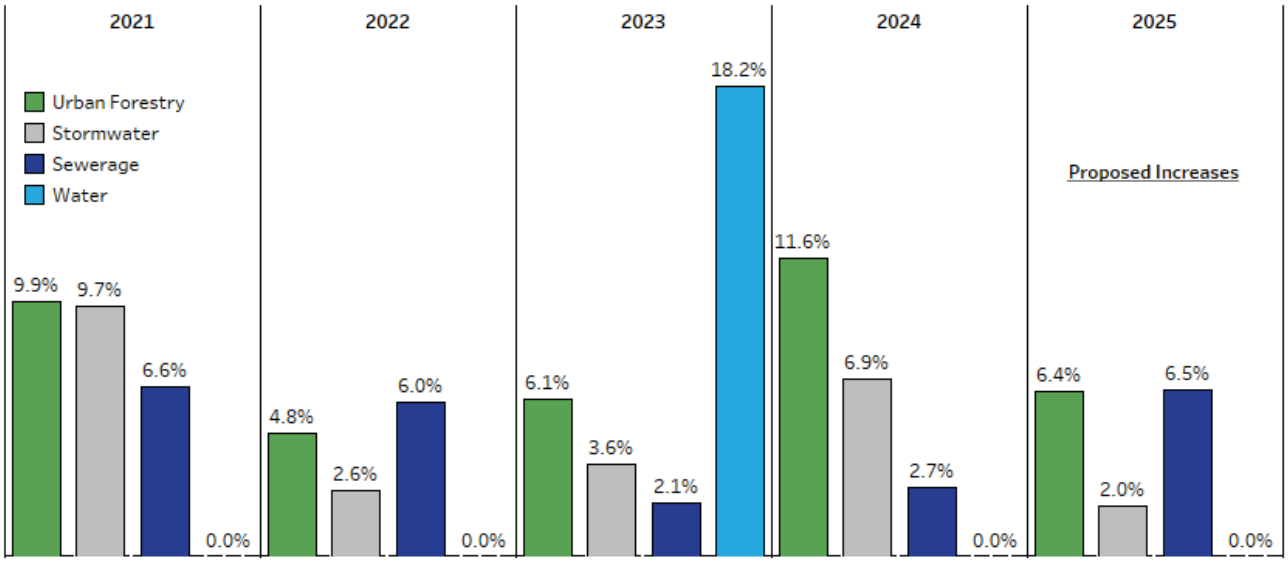
the allocations. As of June 2024, Madison had spent $36.4 million with $9.7 million remaining. These funds must now be obligated for a specific purpose and expended by December 2026.

A total of $24.4 million, or 51.7%, of these funds have been used to help balance the city's general fund and transit budgets – a practice ending this year. The remaining $22.8 million is dedicated to specific programming and capital investments. The largest of these include long-term affordable housing solutions for the homeless and loans or grants for small business support. The city maintains a report detailing how these funds have been used.

Fees and Enterprise Funds

The average city services bill would jump by about $31.21 in 2025 due to increases in stormwater, urban forestry, and sewerage fees, and a drop in the city's recycling charge. Figure 8 shows proposed increases for these fees in the 2025 budget. Sewerage fees lead the way with a 6.5% increase, or $27.36 per customer annually. That would go to debt payments on the city's past upgrades to its own sewers and rising charges from the Madison Metropolitan Sewerage District.

Figure 8: Fee Increases for City of Madison Services (2019-2025)



Source: City of Madison Agencies

The urban forestry fee would see a smaller increase than 2024, at 6.4% or $5.52 annually, to cover increased personnel, fleet and water utility charges. The stormwater utility proposes a fee increase of 2.0%, about $3.01 annually, which would be its smallest increase since at least 2019. Climbing costs here are mostly associated with salary increases and growing expenses for street sweeping. The sewer and stormwater rates are estimates that will be finalized in the spring and take effect at that time. The city water utility is not changing its fees and the budget projects a drop in the special recycling charge of $4.68 annually because revenues generated by payments for recycled materials have grown.

Growth in City Workforce Would Slow or Reverse

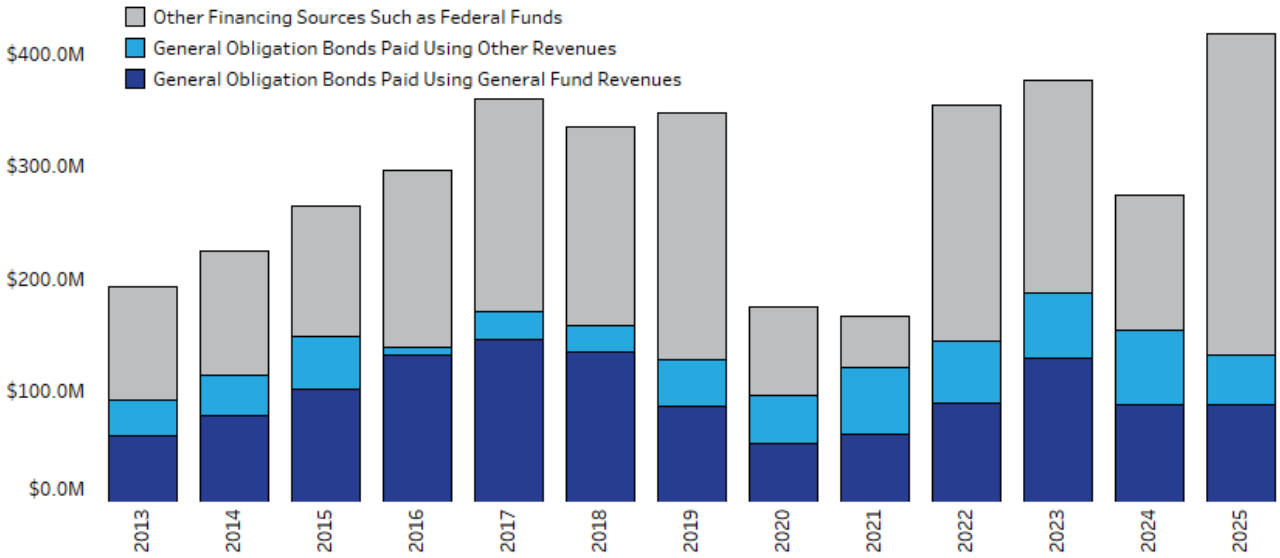
The mayor's budget would only add a net two full-time equivalent (FTE) positions, far fewer than last year's increase of 15.5. And, in the event that the referendum fails, the budget would actually cut a total of 18.2 positions across a number of city agencies. The new positions being proposed would serve as machine operators helping with city trash and recycling operation. The city's population has been rising rapidly with continued growth expected in the future. This, in turn, puts pressure on city services like garbage collection and can trigger staffing increases. Sworn police officers (492.0 FTEs) and Fire Department staff (405.0 FTEs) stay at 2024 levels, which means the number of these staff per capita would again fall modestly as a result.

The mayor's budget would provide 3% cost of living adjustments for both general employees and public safety workers at a general fund cost of $6.1 million. In addition, the budget includes funding for a 1% wage increase within the pay schedule that provides higher wages to more experienced employees, costing $2 million in general tax money. Finally, the budget adds $2.3 million for rising health insurance costs and $1.6 million for increased pension expenses. The budget also assumes many city positions will continue to remain unfilled, factoring in a 3% vacancy rate in all city positions for a $2.4 million savings. Prior to 2024, Madison officials planned for only a 2% vacancy rate.

CAPITAL BUDGET

The mayor's proposed $418.1 million capital budget for 2025, as amended by the city's finance committee, would represent a 53.1% jump from $273.1 million this year. It's also 14.4% higher than the previous record of $365.6 million from 2023 (see Figure 9). A large portion of the increase would draw on federal funding to implement the next step in the city's Bus Rapid Transit (BRT) service, a north-south corridor that will follow the recently launched east-west line. With the renewed focus on BRT, transportation and major street projects again account for more than half (57.9%) of the 2025 capital budget. That is followed by large community redevelopment projects and investments in the city's drinking water infrastructure.

Figure 9: Source of Funding for Capital Spending in Nominal Dollars (2013-2025)



Source: City of Madison Finance Department

New general obligation (G.O.) debt, a form of city borrowing that is backed by property tax revenues, would shrink by 12.5% to $130.9 million, down from $149.6 million this year. However, borrowing paid off using general fund revenues will remain flat – the decrease is for G.O. borrowing that will be repaid with other revenues such as sewer and stormwater fees charged to property owners. The decline in borrowing and growth in the overall city budget has slowed the long-term rise in the portion of city general fund revenue dedicated to making payments on debt, which peaked in 2019 at 17.4%. Under the mayor's proposal, the percentage is expected to remain at 16.6% in 2025.

The next phase of the BRT plan, expected to begin construction in 2027, would expand the service to a route spanning from Northport Drive on the city's north side to McKee Road in the south. Project costs include building stations, purchasing buses, and modifying city streets to accommodate the service. The 2025 capital budget includes $174.1 million for the project, which is expected to cost $200.1 million in total. City officials expect that $159.1 million of that, or 79.5%, will come from federal funds. Though $118.1 million of these federal funds have already been allocated by federal officials, the remaining $41 million are contingent on decisions outside of the agency's control and are not guaranteed.

In addition to BRT, large investments in other key city priorities are planned, including:

- $48.3 million for major street projects besides those associated with BRT, with $15.5 million for pavement rehabilitation and $12.9 million for reconstruction of streets, and $11.5 million dedicated to rebuilding John Nolen Drive from Broom to Lakeside Street.
- A substantial investment in affordable housing, including $30.2 million for the next two phases of the redevelopment of the Triangle complex between Park Street, West Washington Avenue, and Regent Street. This investment would be supported by $24.5 million in developer payments and $5.7 million in federal funds. The proposal allocated an additional $17.7 million for other city-supported affordable housing projects and direct loans to property owners for affordable housing redevelopment.
- A joint investment with Dane County on a $15 million public health clinic, offices, and lab located on the city's south side, funded with a combination of $8.5 million from the county and $6.5 million in city borrowing, with debt payments supported by the city's public health fund.

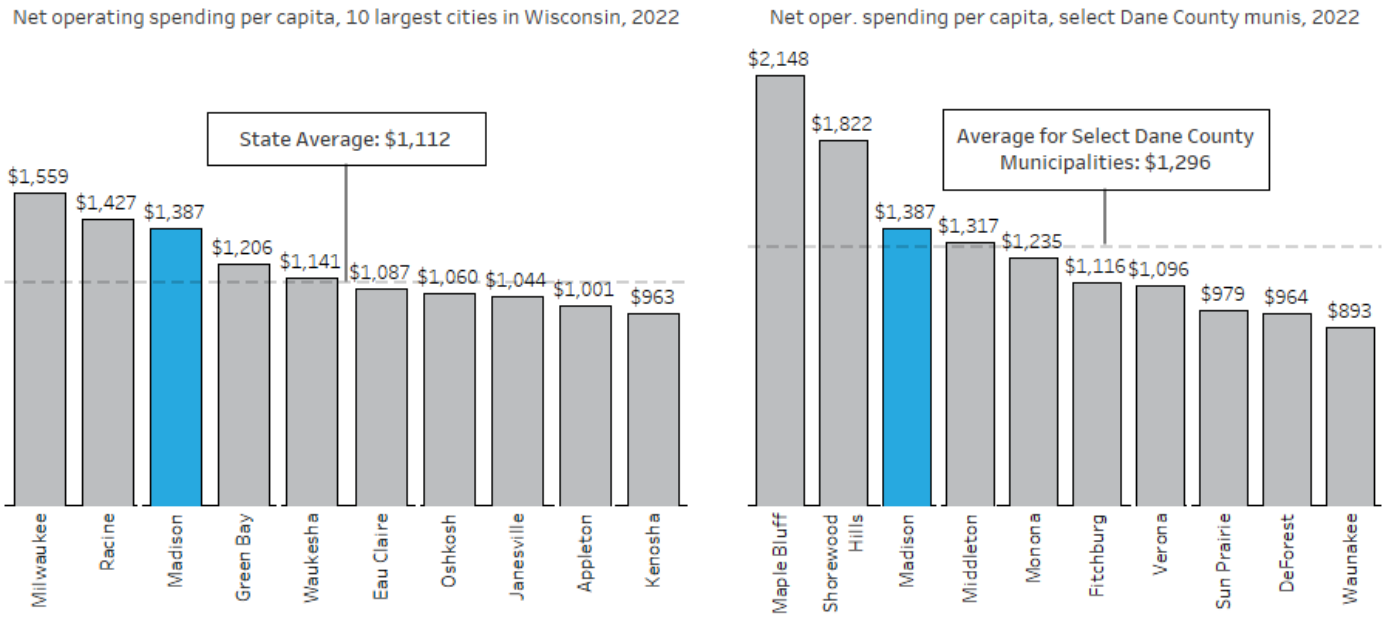
KEYS TO THE CITY BUDGET

Key #1: How Madison Spending Compares

When considering this fall's referendum, voters may wish to review how Madison's spending and property tax levels compare to other cities and villages in Dane County and across the state. As shown in the two charts below, the city's spending and property taxes per resident are greater than most other large cities in Wisconsin or neighboring communities in Dane County.

Madison's per capita spending is 24.7% more than the statewide average and ranks third among the 10 largest cities in the state (see Figure 10). The capital city trails only Milwaukee and Racine – two cities with sizable law enforcement costs. Madison's spending also ranks third among neighboring Dane County municipalities, falling behind only the wealthy villages of Maple Bluff and Shorewood Hills. Madison spends 5.3% more per capita than the city of Middleton and 12.3% more than Monona, though it is only 1.6% higher than the average of the select communities in the county.

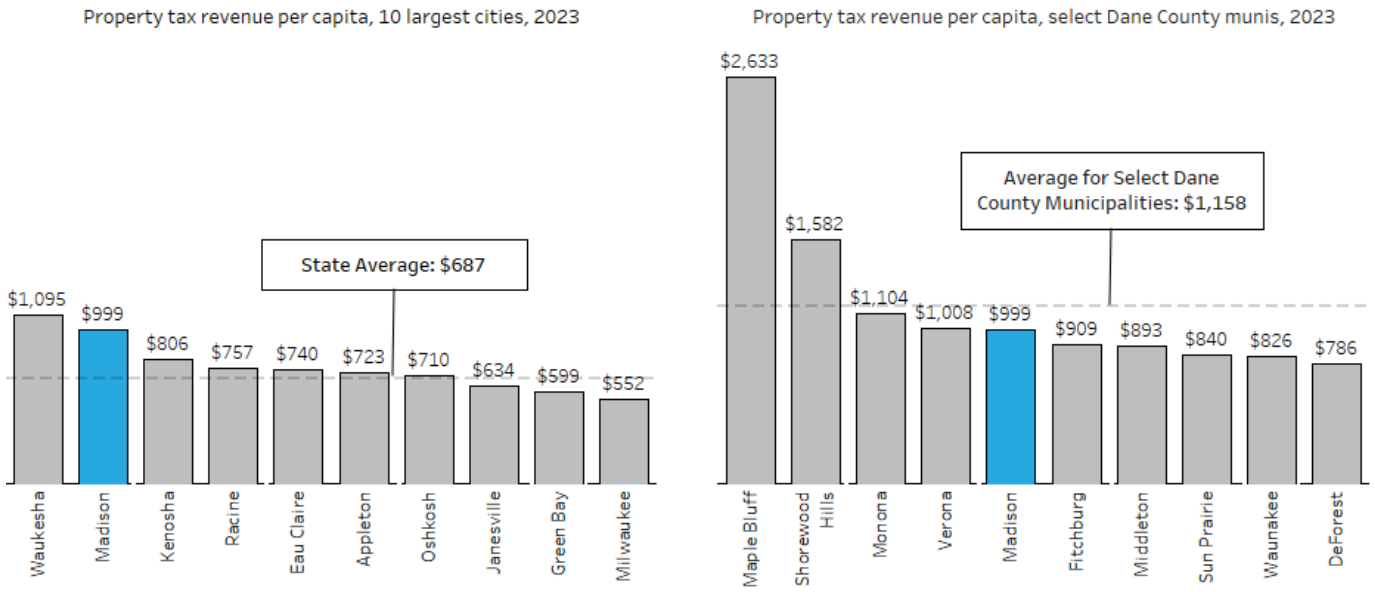
Figure 10: Madison Spends More per Capita than Most Communities in the State and Dane County



Source: Wisconsin Department of Revenue

Madison's higher spending levels reflect in part the area's high housing prices and cost of living (at least compared to the state overall), the largely uncompensated costs of providing services to state government facilities and the University of Wisconsin-Madison, and the added draw on city resources from its role as a hub of regional commerce. Further, while Madison tends to have lower rates of poverty and crime than other cities of a similar size, it does have higher rates than many smaller communities in Dane County. Last, Madison has some of the best quality roads of any large city in the state and a reasonable ratio of police officers to the population, suggesting that the higher level of spending is partly attributed to the level of services in the city.

Fig. 11: Madison Tax Revenues Per Capita Second Highest Among Large Wisconsin Cities, Middle of the Pack in Dane County



Source: Wisconsin Department of Revenue

Because Madison spends at higher rates and receives relatively little state aid per capita, it also taxes at a higher rate per person. Among the state's 10 largest cities, Madison's property taxes per capita are 45.4% above the statewide average and rank second highest below Waukesha – another city that receives very little per resident in the form of state aid known as shared revenue (see Figure 11). The city's taxes per capita compare more favorably with those of its neighbors, with Madison ranking fifth among the 10 select communities and 13.7% below the 10-municipality average. That partly reflects the fact that most of these other communities also receive low levels of shared revenue from the state.

Key #2: Referenda on the Rise in Dane County

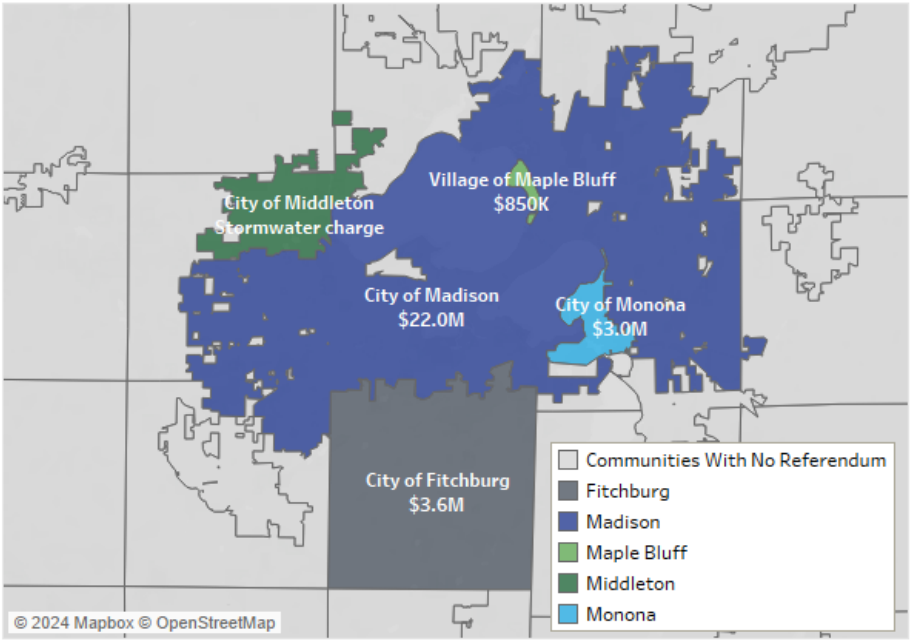
Madison is not the only community to hold a referendum this November – four other municipalities in Dane County and 13 other municipalities around the state are also voting on whether to exceed state levy limits by millions of dollars collectively, according to data from the Wisconsin Election Commission. These ballot measures show that the budget pressures facing Madison are also affecting some of its neighbors (see Figure 12 on the next page).

Like all cities and villages around the state, these communities face tight state limits on the property tax – their main source of funding and nearly their only form of tax revenue – as well as the recent impact of inflation and the end of federal ARPA funding. Because of their high property values, these communities generally did not receive a major boost in state aid this year from the legislation known as Act 12, as we explained in last year's budget brief. Some of the same forces are also driving many school districts to go to referendum in November, including the Madison Metropolitan School District and six other districts in Dane County.

The Dane County municipal referenda include:

- A measure in the city of Fitchburg on whether to exceed the state-imposed limit on the tax levy by $3.6 million, or 11%, to fund five police officers, six firefighters, three city staff, operating costs for a police station, improvements to public transit, and other operating costs.

Figure 12: Dane County Communities Voting on Exceeding State Levy Limits



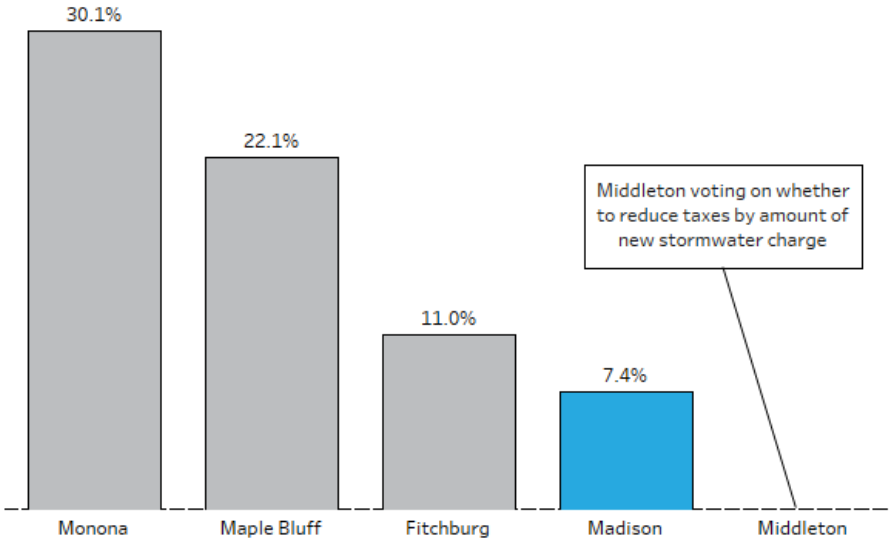
Sources: Wisconsin Elections Commission and Dane County

- A $3 million Monona referendum on whether to exceed the tax levy in that city by 30.1% for the purpose of "maintaining current operations and services."

- An $849,500 ballot question in the Village of Maple Bluff on whether to exceed the state limit by 22.1% to cover operating expenses and make staff salaries more competitive.

- A ballot question in Middleton on whether to allow the city's stormwater utility to implement a $918,000 charge on property owners to fund its operations without reducing its state property tax limit by a similar amount, as otherwise

Figure 13: Percent Incease in Tax Levy Over State Limit in Dane County November Referenda



Source: Wisconsin Elections Commission

required by state law. This measure follows a successful 2022 referendum that allowed the city to exceed the levy limit by $770,000 for additional police, parks, and communications staffing.

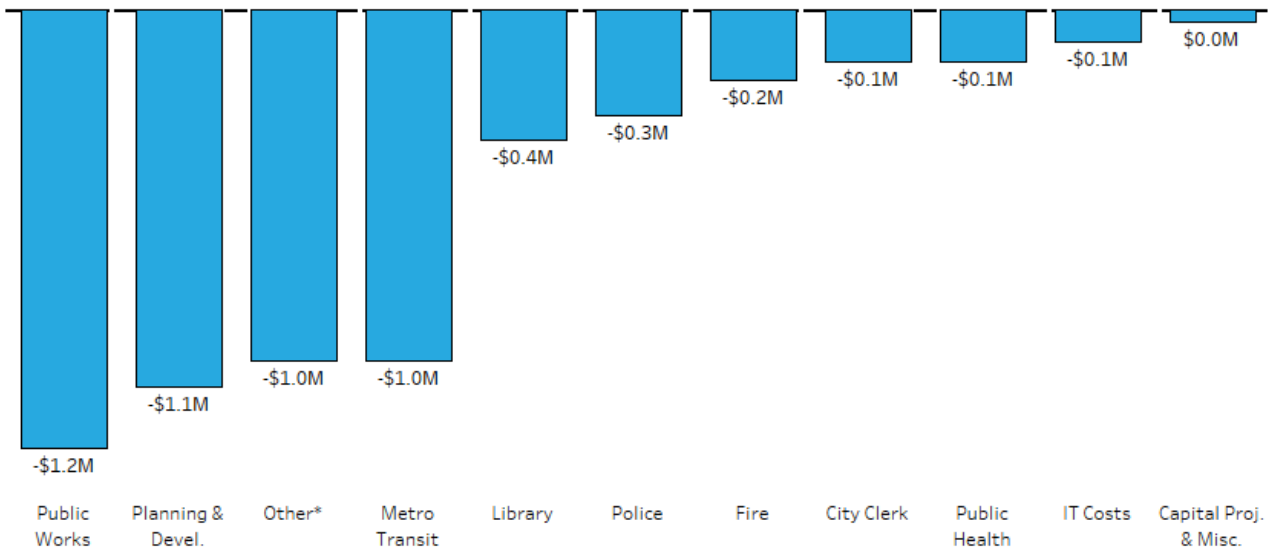
As Figure 13 on the previous page shows, Madison's referendum increase would be less than those of its neighbors going to referendum. All of the ballot measures are substantial, however, and the municipalities holding them can also be compared to neighboring communities that are not pursuing any referendum at this time. To some degree, these measures in Madison and parts of Fitchburg also may be competing with the MMSD referendum for the support of voters and taxpayers – a challenging footing for municipalities since their referenda have traditionally passed at lower rates than those for schools.

Key #3: Contingencies for a Failed Referendum

If voters approve the city's referendum, the resulting higher taxes and spending are relatively straightforward. If the referendum fails, however, the result is much more complicated, with the mayor proposing a combination of $5.6 million in spending cuts, a $6.4 million draw from the city's fund balance, and the creation of a $10 million infrastructure charge.

The spending cuts would be spread across a number of city priorities, with the largest single cuts impacting Public Works ($1.2 million), Planning and Development ($1.1 million), and Metro Transit ($1 million). An additional change under the reduction plan is the elimination of the Office of the Independent Monitor, saving an estimated $272,554. In the wake of incidents involving the use of force by police locally and nationally, the Common Council created the office to provide independent civilian oversight over the Madison Police Department. Figure 14 shows the reductions, which generally would mean smaller funding increases for city agencies in 2025, not outright cuts.

Figure 14: Budget Reduction Plan for Failed Referendum by Purpose in Millions



Source: City of Madison Finance Dept. *Other includes administration (minus city clerk), mayor, Common Council, municipal court, independent police monitor.

The smaller increase in library funding would result in closing all libraries on Sunday except the Central Branch and the elimination of library programing such as children's story hour. Parks would see a substantial reduction in funding that would in turn be covered in large part by an increase in the rate property owners pay as part of a State Street mall special charge ($464,411) – a change that would impact these downtown business owners. The cuts would also mean the end of public ice rinks in parks, saving $60,000. City budget documents include a detailed description of the cuts.

Infrastructure Special Charge

If the referendum fails, the Mayor also proposes imposing a new charge on all properties in Madison – including nonprofit and government owned parcels – to recover costs associated with providing transportation infrastructure such as streets. The charge would vary based on the estimated amount of traffic generated by a given property. Madison has implemented similar charges, including the special forestry charge and State Street Mall Special charge using the same legal authority.

Other municipalities have tried to impose property-based charges to generate transportation revenue, but the State Supreme Court has not allowed them to be imposed, finding that they violate property tax levy limits. City officials indicate that Madison's new special charge would rely on a different section of the state statutes than these transportation utility fees. Yet officials also say that, to their knowledge, no other city in Wisconsin has implemented a special charge for transportation using Madison's approach. As a result, it is possible this fee could also face legal challenges that could either delay the process of receiving revenues or even prevent it altogether. If that were to occur, the city might need to turn to other budget steps such as further cuts or use of reserves.

General Fund Balance

The final component on the Mayor's plan in the event of referendum failure would be the use of $6.4 million from the city's general fund cash balance. This would follow a $9.2 million contribution from the balance as part of the 2024 budget. This use of reserves would represent the city moving down a path that over time could lead to a drop in its credit rating and higher borrowing costs. If taken to an extreme, it could expose the city to greater risk from unforeseen shocks such as the pandemic.

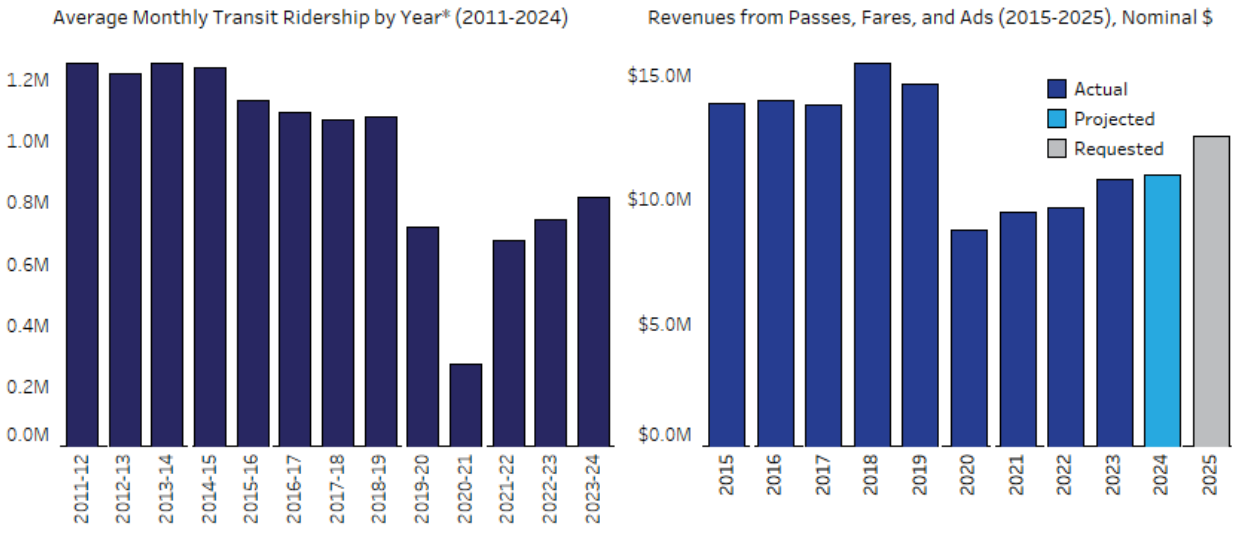
For now, however, the city maintains strong reserves. At the end of 2023, the city had a general fund balance of $83 million, equal to about 21.5% of the budget. That means the city is still well above its target of maintaining a balance equal to 15% of its operating budget. However, this metric is worth watching closely, especially if the city fails in its efforts to secure substantial new revenues through either the property tax referendum or the infrastructure special charge.

Key #4: Metro Transit's Slow but Steady Recovery

Under the budget proposal, the city's transit system would continue its slow climb back from the massive pandemic disruptions, log its first full year with the Bus Rapid Transit (BRT) East-West line, and work on rolling out the BRT North-South line (see also the Capital Budget section). The budget would seek to build on the 11.3% growth in Madison Metro Transit ridership in 2024, which follows a similar jump in 2023.

More growth, however, is still needed. While many passengers (see Figure 15) have returned to city buses since the depths of the pandemic, 2024 average monthly ridership still sits nearly 23% below the average month in the run-up to the arrival of COVID-19 and even farther below Metro's 2014 peak. A portion of the drop compared to 2019 can be attributed to the shift of Madison Metropolitan School District middle school students away from city-operated buses to yellow school buses.

Figure 15: Madison Metro Transit Continuing Slow Pandemic Recovery



Sources: Federal Transit Administration and City of Madison. *Yearly values from September of first year to August of second year.

Even with continued 10% growth annually, however, ridership would not match pre-pandemic ridership until 2026. However, if the growth in passengers continues at its current rate as BRT routes come online, that could help to make up the difference. As ridership has returned, fare, bus pass, and advertising revenue is also growing by a projected 1.6% in 2024. However, these revenues also remain 14.5% below their 2019 amount.

Federal, state, and other local revenue would account for $39.4 million of Metro Transit's funding, or 50.8% in 2025, with state aid remaining unchanged from this year and federal aid actually declining by $2.3 million as Inflation Reduction Act tax credits phase out. Revenue from the city's $40 vehicle registration fee would contribute $7.0 million, and the transit agency would pull in $12.5 million from service contracts, fares, and advertising. The remaining $18.4 million would come from the city's general fund, $2.7 million more than last year. In 2019, prior to the adoption of a city wheel tax, general tax revenue contributed $14.5 million, nearly $4 million less than the current budget proposal. That amount dropped to only $2 million in 2023 to help address a general fund gap, but has since climbed back to surpass 2019 levels in part as the city repays some of this missing amount from 2023. Given the city's stressed fiscal situation, it may be difficult to continue to rely on such a large amount for future years – particularly if the November referendum fails.

The budget proposes total 2025 funding of $77.4 million, which would represent a 4.7% increase over projected 2024 expenditures. The new spending would pay for increased overtime costs and growing salary costs associated with the 3% cost of living wage bump expected for all city staff, as well as bus service increases. Contract costs associated with providing paratransit services are

expected to grow by $723,500. City officials indicate service costs for routes connecting partner communities like Monona and Verona have grown from $4.5 million, or 7.7% of the agency's budget in 2019, to $13 million or 16.8% in the 2025 budget. Partner communities pay for these services, offsetting the impact of the cost increases and providing some additional scale to the operation.

The budget also projects a decrease in diesel fuel costs for bus operations of $561,800 and an increase in electricity costs of $499,800, resulting in a net savings of $62,000 associated with the switch to electric vehicles, at least with respect to their power source.

With the East-West BRT corridor finished, city officials have turned their attention to planning for construction on the North-South corridor. Our capital budget section details the costs associated with this $200.1 million project, with construction slated to begin in 2027 on road and bus stop improvements, plus bus procurement. City officials again indicate that, like the East-West route, costs of operating this new service will be paid for within Metro Transit's existing budget.

While ridership and operational revenue have grown, the mayor's 2025 proposal continues to rely on general fund revenues to cover more than 20% of Metro's total funding. Even with continued ridership growth, transit service will likely rely on increased general tax dollars next year because ridership will again likely trail 2019, and the cost of providing services continues to grow.

Without some major change in either Metro's ridership, its routes and spending, or increases in state or federal revenue, city leaders will likely face a 2026 budget where the transit system will consume more general tax revenues. Over the long term, the city could seek new efficiencies, additional state funding or sales tax authority (either with or without a regional transit authority), or opt to fill the gap through increased vehicle registration fees. The city's current $40 registration fee would need to be increased by $6 for every $1 million in new Metro Transit funding.

Key #5: Room Tax and Parking Funds Recovering Slowly

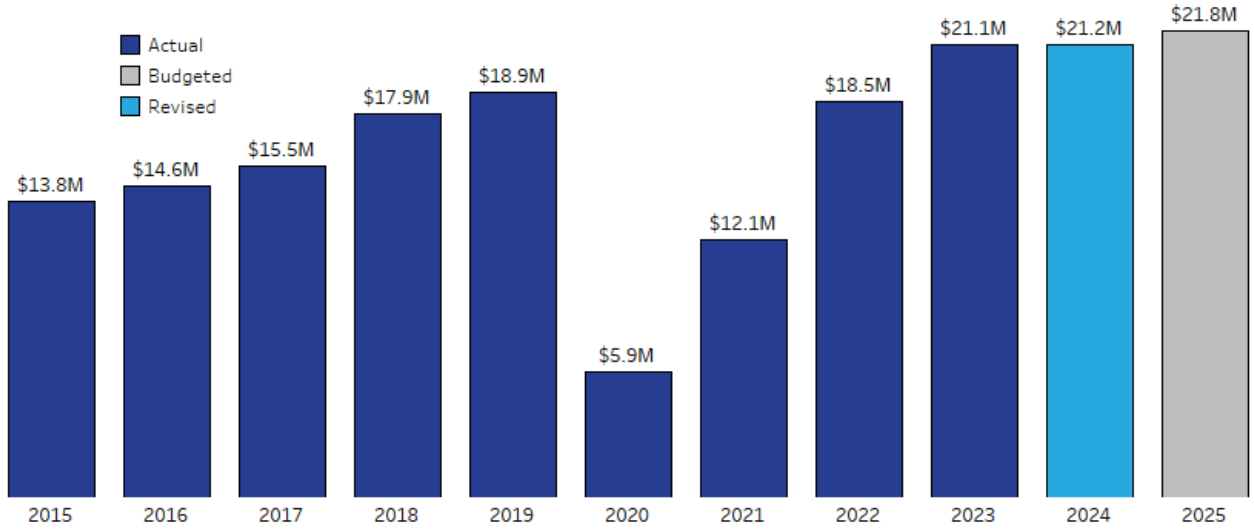
During the pandemic, almost all travel stopped, and people stayed home from work, dining, and shopping. As a result, room tax revenues and parking fees saw massive declines. Recent years have seen recovery, with both sets of revenue returning to at or near the same levels as before the pandemic, at least on a nominal basis.

Currently, both funds are also projected to collect enough revenue to cover their basic expenses and make contributions to the city's general fund, a welcome change from previous budgets. However, the revenues have still not risen enough to keep up with the growth in inflation and the potential expenses for these funds and the activities they support.

Room Tax Grows Slowly

Figure 16 on the next page shows that city officials currently estimate $21.8 million in expected room tax revenue for 2025, a rise of 3.0% from projected 2024 revenue. This would outpace collections in the year prior to the pandemic by 15.3%, yet over the same period consumer prices have risen by more than 23%, so in a sense total revenue has yet to fully catch up to 2019 levels.

Figure 16: Room Tax Collections by Year With Projections, Nominal Dollars



Sources: City of Madison Finance Department and Room Tax Commission

While revenues have grown, total room tax spending has climbed more rapidly, resulting in a projected shortfall of approximately $2.6 million in 2025. The budget proposal would cover that amount using a portion of the room tax fund's balance.

The city's room tax commission approved a 2025 budget with $24.4 million in spending, an increase of $1.4 million, or 6.6%, from the latest projections for 2024. Most spending areas would see modest growth, with the exception of Monona Terrace capital spending, which rises by $1.1 million. That would be more than double the 2024 amount and would pay for HVAC upgrades, audio-visual equipment, and furniture. City officials indicate that this use of room tax revenues will drop once again in 2026.

The next largest increase in spending comes from a bump in the room tax fund's contribution to the general fund, which would grow by 3%, or $190,000. This transfer was sharply cut during the pandemic, but now stands at $6.5 million annually, or slightly more than in 2019. If room tax collections do not grow, future budgets may need to consider either reducing transfers to the city's general fund or turning to spending cuts to Monona Terrace and Overture Center operations or other city efforts to promote tourism.

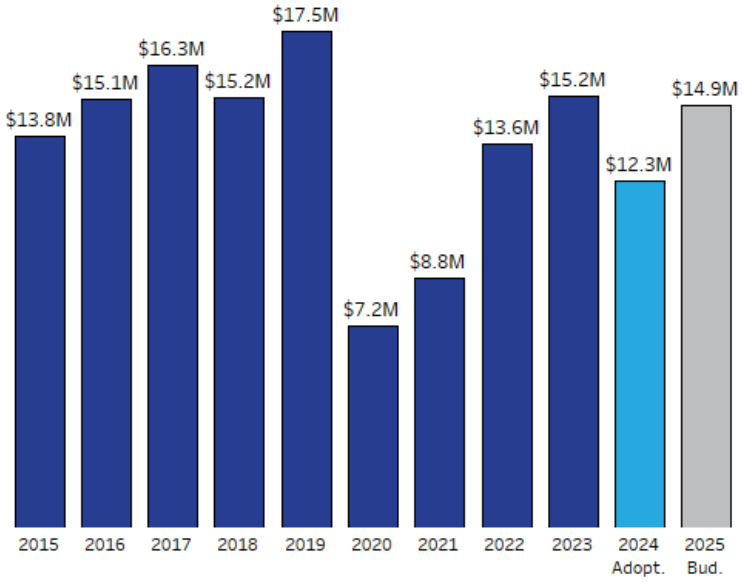
Parking Rate Increases Cause Parking Revenue to Grow

Parking revenues still trail pre-pandemic amounts, as fewer people travel downtown for work each week. Ongoing revenues from parking garages, meters, and permits are expected to hit $14.9 million in 2025 -- closer to pre-pandemic levels but still below them, particularly on an inflation-adjusted basis (see Figure 17 on the next page).

Revenue would climb 21.1%, largely due to an increase in parking rates in January 2024 and the planned reopening of the Lake Street lot near the UW-Madison campus, which impacted revenues in 2024.

Once again, the mayor's budget would draw down the parking utility's reserve funds by 14.8% to balance the 2025 budget. While significant, this would be the smallest withdrawal from the fund balance since 2020, when the city applied $6.4 million from the balance.

Figure 17: Parking Utility Fund Ongoing Revenue*, 2015-2025



Source: City of Madison Finance Department; *Does not include revenues from fund balance, transfers from other funds, or the sale of assets.

The utility would also reduce budgeted spending by eliminating a number of vacant positions and reorganizing others. However, in the long term, these changes may not be enough as area drivers continue to use parking facilities at lower rates than in the past. Some of this trend can be attributed to Dane County's high rate of working from home, given its high concentration of college-educated, white-collar residents. The city still has options, however. Given the strong development pressure in Madison, the city could deal with challenges for the utility as needed by selling or redeveloping lots and structures that are no longer cost effective to operate.

CONCLUSION

Voters in Madison are already casting absentee ballots to decide the city's property tax referendum, as are Dane County voters in Fitchburg, Monona, Maple Bluff, and Middleton. The results in these communities will have a weighty impact for both local budgets and tax bills alike. The increase in Madison's ballot question is smaller on a percentage basis than those in the other communities, yet city officials still face a big challenge in making their case to voters. That's because the Madison Metropolitan School District (MMSD) has placed its own $100 million operating and $507 million capital referenda on the Nov. 5 ballot as well. Together, the city and MMSD referenda would add a substantial sum to the property tax bill of the typical homeowner by 2028.

If the city's referendum fails, uncertainty awaits. In that case, the mayor proposes cutting spending, tapping reserves, and rolling out an untested infrastructure special charge. If the referendum succeeds, the city will still have long term challenges. Though it would resolve the city's $22 million shortfall for 2025, a referendum would still leave Madison with an ongoing mismatch between its revenues and spending that would start to gradually open new budget gaps in 2026 and beyond.

At best, the November referendum represents an opportunity for taxpayers to buy the city some time to work out other solutions. The city, for example, could seek service sharing or other partnerships with neighboring communities or Dane County that could either help to control costs or bring in additional revenue. Aggressive development to help resolve the city's housing crisis would also bring over time some additional property tax revenue under state limits, but only a very small amount.

The city could also look at options with a bigger impact on some of its key stakeholders such as limiting new positions or raises for its workforce, or increasing charges such as the city's $40 vehicle registration fee – already tied for the highest in the state. While these solutions could provide lasting budget relief, they also would have a permanent impact for city workers or motorists.

Ultimately, city officials are likely to turn to the Capitol to seek an increase in state aid or additional authority to raise their own revenues locally. As we have noted, Madison lags other municipalities in the state in shared revenue payments, perhaps providing city officials with an opening argument to make to lawmakers at the other end of Martin Luther King Jr. Boulevard. Another possibility is to seek the authority to impose a sales tax – most Midwestern cities of Madison's size have a second form of taxation such as a sales tax. The city of Milwaukee and Milwaukee County successfully argued for new sales tax authority last year, providing at least some precedent for a similar move for Madison and perhaps other communities in the state.

The Legislature, however, took this step for Milwaukee officials only in the face of enormous financial pressure facing both local governments there – Madison's challenges are currently much smaller. Even if the state does provide additional help, it would probably not take effect until 2027 at the earliest. No one, therefore, should be under any impression that some state rescue is imminent – Madison is currently largely on its own and may remain in that position for years to come.

Ultimately, the voters of Madison and the city council must decide the city's course for 2025 and likely the year after that as well. We hope this brief proves useful to them as they make their hard choices in the weeks to come.